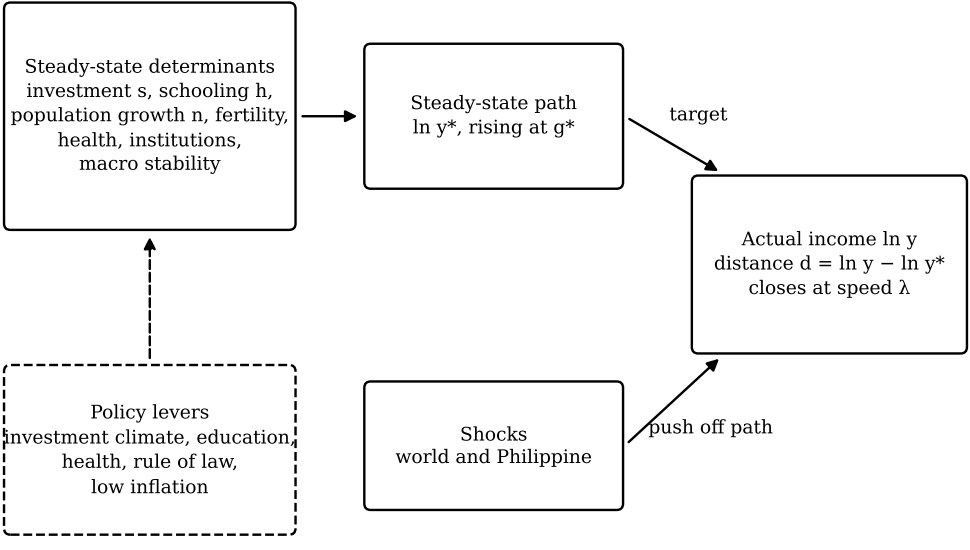
Steady-state determinants
investment s, schooling h,
population growth n, fertility,
health, institutions,
macro stability
Steady-state path
ln y*, rising at g*
target
Actual income ln y
distance d = ln y − ln y*
closes at speed λ
Policy levers
investment climate, education,
health, rule of law,
low inflation
Shocks
world and Philippine
push off path